



QA

PHOTO BY **HARDIK CHHABRA**

30 | **“WEST ASIA CRISIS IS A SIGNIFICANT SHOCK, BUT INDIA WELL POSITIONED”**

Aurélien Kruse, Lead Economist for India at the World Bank, on inflation and impact of the West Asia war

Agriculture is no longer driving the growth story in India, says Aurélien Kruse, Lead Economist for India at the World Bank, adding that the below average monsoon forecast is not a source of concern from a macro growth perspective. But along with the West Asia crisis, it could add pressure on inflation. In an interview to BT, he underlines that India entered the crisis from

a position of resilience and is set to grow 6.6% this fiscal but flags the large repatriations of foreign direct investment. Edited excerpts:

▶▶▶ **World Bank expects India to grow by 6.6% this fiscal. What are the reasons for this?**
We began our work before the West Asia war began and we had a lot of reasons to be very optimistic about the path of the

Indian economy. The last quarters of FY26 were stronger than expected and that has a carryover effect in the following year. The resolution of long-standing issues on the trade side, the deal with the European Union and the resolution of the issues with the US, along with India's stance on trade were very positive. We were very bullish about our forecast and we were upgrading our assump-

tions relative to the status quo ante. Then came the West Asia crisis. The 6.6% GDP growth estimate for FY27 is due to the very big oil shock where net exporters benefit, and net importers suffer. India is a net importer and it's clear that there's going to be an impact.

▶▶▶

What impact do you expect from the West Asia conflict in the medium term?

It's a mixed picture. On the one hand, India was originally very exposed to the shock on account of large imports of oil from West Asia. On the other hand, India's net energy import as a share of GDP is not very high at 3%. This is because a lot of the electricity produced in India is from domestic sources. Second, India came into this crisis from a position of strength. Finally, India is much more able to reallocate and find new sources of supply than smaller countries that don't have the same market power. Also, it has refineries that can deal with any type of crude. The West Asia crisis is a significant shock, but India is well positioned over the medium term.

▶▶▶

The monsoon is seen to be below average this year. Will it have a direct impact on inflation and consumption?